

France: Le Pen's bid for fiscal credibility falls flat

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Le Pen's €180 billion bid for fiscal credibility falls flat

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Presidential frontrunner Marine Le Pen's plan to shore up the country's tottering finances by cutting €180 billion from state spending over five years may gain some support from voters but is unlikely to win over markets, based on the initial reactions of opponents and independent economists.

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However, at her Tuesday press conference, Le Pen offered her strongest indication to date that she will allow the adoption of an "imperfect" state budget for 2027 this fall to avoid a bond market crisis.

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Eurasia Group continues to assign a 35% probability to a victory for the far-right leader and a 40% chance to the centrist candidate Edouard Philippe.

Le Pen's attempt to seize the initiative on economic issues was unsuccessful. The economic platform she unveiled Tuesday was rejected by opponents and independent economists as an exercise in political deception and creative accountancy. A preliminary review of her 40-page plan to reduce the French deficit from 5.4% of GDP to 3% over four years reveals that it is mostly a reworking of the much-criticized budget proposals of her 2022 presidential campaign.

Le Pen claimed that her budget plan amounted to a restructuring of the French state. It would also call into question the structure of the EU by unilaterally withholding €20 billion in France's legally mandated payments to the EU budget over five years. The figures she presented for €180 billion in cuts by 2032 were heavily front-loaded—over half in the first year—implying that she could implement them from the moment that she entered office. Budgetary experts consulted by Eurasia Group dismissed this as merely the first in a series of accounting sleights of hand.

Le Pen's attempt to establish herself as a fiscally credible candidate, however, may gain her some support. She has made progress in understanding economic issues and in becoming conversant with fiscal terminology, following her disappointing debate performances in previous campaigns. Her promise to cut fuel and business taxes by €53 billion and reduce spending by €140 billion over five years by taking an axe to the bloated French state lacks credibility. Yet, it will appeal to many French voters.

Moreover, after successive governments under President Emmanuel Macron added €1 trillion in debt over the past nine years, it is difficult for the centrist political establishment to accuse Le Pen of making false promises. Whether the financial markets will buy into Le Pen's incompletely revised proposals is another question.

Meanwhile, Le Pen sent a positive signal on the 2027 budget. Le Pen hinted that she will allow a "bad" but "reversible" budget for 2027 to pass through parliament this fall rather than use her swing votes in the National Assembly to censure and bring down a third government in three years. She said that it was difficult for her to "impose objections and bans" when a budget failure and government collapse might tip France into a full-blown debt crisis.

Several of Le Pen's budget proposals would face lengthy legislative or constitutional battles, even if she had a parliamentary majority. These include reducing the many layers of local government and her exaggerated claim of saving €20 billion in five years from scrapping welfare payments to legal immigrants, including those from other EU countries.

There is a worrying imbalance in the Le Pen plan. Her proposals include immediate tax cuts, such as reducing VAT on diesel and petrol from 20% to 5% and abolishing three business taxes. They also include rapid increases in spending, including through a reduction in the pension age from 63 to 62 (or 60 for some) and an offer of free dental treatment. Together, that might cost the state as much as €70 billion in the first year.

The balancing savings are either inflated (€20 billion over five years for cracking down on fraud) or likely to be delayed. Mathieu Plane, deputy head of the French economic think tank, the OFCE, said that of the €180 billion in total savings claimed by Le Pen, "more than €80 billion are extremely debatable." He said that she was offering "real" new spending to please her voters, balanced by "magic" savings. The danger, therefore, is that in the first year of a Le Pen presidency, the deficit could widen substantially rather than narrow.

Le Pen hopes that markets will be impressed by her willingness to consider radical treatment for the bloated French state. National Rally insiders say that she rejects the "failed establishment thinking" that shapes the criticism. In any case, they say, she is the only presidential candidate to draw up a deficit-reduction plan for the entire five years of the next presidential term. The details may be debatable, but they will be lost on most voters, the party insiders say.

They add that her plan is unlikely to change, even if the immediate signal from the markets is negative. She knows, all the same, that the markets could make or break a Le Pen presidency. She will have another chance to impress them with her statesmanship on 20 October when the National Assembly takes the first of several votes before mid-December on the 2027 budget. We believe her far-right bloc is likely to abstain to allow the process to continue.

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